equity and debt capital for the government. The ever-constant capital output ratio was expected to produce the same output even when the capital invested was entirely made up of debt.

The government launched an aggressive small savings programme to mobilize savings to use as capital. The life insurance industry was nationalized and LIC was mandated to invest virtually all its net premiums in government bonds. Private industry was subjected to the EPF scheme, which mobilized workers' savings into the accounts maintained by EPFO with the mandate to invest all net accumulations in government bonds and other public-sector entities. In the 1960s and 1980s, private-sector banks were nationalized and mandated to invest a large part of the savings placed as deposits by people in government bonds under statutory liquidity ratio obligations. Almost the entire financial system worked to channel a major part of people's savings to the government as debt.

Business, or the production and distribution of goods and services to make profits, is inherently risky. There may not be enough demand for the goods and services produced. A competitor may offer better products at a cheaper price. The technology might change, as may consumer preferences. A business may, on the contrary, generate super profits if the product catches the fancy of consumers and the technology choices made allow entrepreneurs to produce goods and services at much lower costs. Thus, any business may make good profits or lose money. Therefore, businessmen need to deploy risk capital. Equity is that risk capital.

A part of capital can be relatively risk-free. Risk-free capital, usually called debt, obligates businessmen to pay a certain fixed rate of interest or an interest rate linked to some measure of inflation. Depending upon the cost of such debt capital and the profit generated on capital, businessmen may make or lose money on the debt undertaken. This leverage enhances the riskiness of equity capital. No business can be incubated and established unless the entrepreneur is able to raise and deploy risk capital.